

CASE B – WEAK BORROWER

Kowloon Artisan Furnishings Limited

Financial Statements for Loan Assessment

Years ended 31 December 2023 – 2025 | Amounts in HKD 000 unless stated

Business profile	Import-led furniture retailer with project sales
Loan request	HKD 4.0m working-capital / term facility; 5-year amortisation; 9.50% indicative rate
Indicative decision	Likely decline or require restructuring / equity cure
Reference period	FY2023–FY2025 audited-style history

Key figures

Revenue FY2025 31,900	EBITDA FY2025 (2,900)	Net profit FY2025 (6,250)
Operating cash flow FY2025 (12,050)	Total equity FY2025 7,400	DSCR FY2025 (0.98x)

Credit conclusion

Likely decline or require restructuring / equity cure

Kowloon Artisan would likely be declined for the requested HKD 4.0m facility on the stated numbers. Sales decline, gross margin deteriorates, EBITDA and EBIT are negative, cash from operations is deeply negative, quick ratio is below 0.7x, receivable days rise to 144 days, inventory days exceed 300 days, and debt increases while equity falls. A lender would likely require a credible turnaround plan, fresh equity, inventory liquidation evidence, aged-debtor recovery, tighter borrowing-base controls, and possibly a reduced or restructuring facility rather than incremental unsecured debt.

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Conventions. Hong Kong setting; HKD; amounts rounded to the nearest HKD 000; negative values are shown in red parentheses. Statements are simplified lender-style examples, not statutory accounts or a credit recommendation. A bank would still require bank statements, tax filings, debtor ageing, management accounts, security details and beneficial-owner checks.

1. Income statement

For the years ended 31 December | HKD 000

Income statement	FY2023	FY2024	FY2025
Revenue	38,000	35,200	31,900
Cost of sales	24,700	23,900	22,700
Gross profit	13,300	11,300	9,200
<i>Gross margin</i>	35.0%	32.1%	28.8%
Operating expenses	11,800	11,900	12,100
EBITDA	1,500	(600)	(2,900)
<i>EBITDA margin</i>	3.9%	(1.7%)	(9.1%)
Depreciation & amortisation	1,400	1,500	1,600
EBIT	100	(2,100)	(4,500)
Finance costs	900	1,250	1,750
Profit before tax	(800)	(3,350)	(6,250)
Tax expense	0	0	0
Net profit	(800)	(3,350)	(6,250)

2. Balance sheet

As at 31 December | HKD 000

Balance sheet	FY2023	FY2024	FY2025
Cash and bank balances	1,800	1,100	700
Trade receivables	9,200	11,200	12,600
Inventories	15,400	17,700	19,300
Other current assets	1,400	1,500	1,500
Total current assets	27,800	31,500	34,100
Property, plant & equipment, net	9,700	9,400	9,000
Right-of-use assets	4,200	3,900	3,600
Total assets	41,700	44,800	46,700
Trade and other payables	11,100	12,800	14,500
Short-term bank borrowings	5,200	6,600	8,000
Current lease liabilities	1,300	1,400	1,500
Total current liabilities	17,600	20,800	24,000
Long-term bank borrowings	10,500	11,500	12,500
Long-term lease liabilities	3,000	2,900	2,800
Total liabilities	31,100	35,200	39,300
Share capital and retained earnings	10,600	9,600	7,400
Total liabilities and equity	41,700	44,800	46,700

3. Cash flow statement

For the years ended 31 December | HKD 000

Cash flow statement	FY2023	FY2024	FY2025
Net profit	(800)	(3,350)	(6,250)
Depreciation & amortisation	1,400	1,500	1,600
Change in working capital	(3,300)	(3,700)	(2,900)
Net cash from operating activities	(2,600)	(9,050)	(12,050)
Capital expenditure	(1,800)	(1,400)	(1,200)
Net cash from investing activities	(1,800)	(1,400)	(1,200)
Debt drawn / (repaid)	4,200	2,400	2,400
Lease principal paid	(1,300)	(1,300)	(1,300)
Dividends / owner withdrawals	0	0	0
Net cash from financing activities	2,900	1,100	1,100
Net change in cash	(1,500)	(9,350)	(12,150)

4. Debt and credit metrics

Ratios calculated from the statements above | Bank lens shown for reference

Metric	FY2023	FY2024	FY2025	Indicative bank lens
Current ratio	1.58x	1.51x	1.42x	>1.25x generally preferred for working-capital resilience
Quick ratio	0.70x	0.66x	0.62x	Higher is better; inventory-heavy businesses need a buffer
Debt / EBITDA	10.47x	(30.17x)	(7.07x)	<3.0x often more comfortable for an SME
Interest coverage	0.11x	(1.68x)	(2.57x)	>3.0x provides meaningful headroom
DSCR	0.54x	(0.74x)	(0.98x)	>1.25x commonly targeted; <1.0x indicates debt service shortfall
Receivable days	88.4	116.1	144.1	Long or rising days can signal collection risk
Inventory days	227.7	270.4	310.3	Rising days tie up cash and increase obsolescence risk
Operating cash flow / debt	(0.17x)	(0.50x)	(0.59x)	Positive and rising is supportive

Loan request (illustrative): HKD 4,000k. Indicative decision: Likely decline or require restructuring / equity cure. Not a formal credit approval.